

Basel III Framework Overview: Liquidity, Capital & Operational Risk Standards

Regulatory Architecture for Capital Adequacy, LCR, NSFR & Settlement Bank Resilience

Standard Setter:	Basel Committee on Banking Supervision (BCBS / BIS)
Specification ID:	BCBS-BASEL-III
Classification:	Global Banking Capital & Liquidity Standard
Verification:	Integrated in Ariya Sarrafzadeh Production Architecture

1. Capital Adequacy & Buffer Architecture

Requires banking institutions to maintain Common Equity Tier 1 (CET1) capital of at least 4.5% of risk-weighted assets (RWA), supplemented by a 2.5% Capital Conservation Buffer and discretionary Countercyclical Buffers.

2. Liquidity Coverage Ratio (LCR)

Mandates that financial institutions hold sufficient High-Quality Liquid Assets (HQLA) to survive an acute 30-day liquidity stress scenario with an LCR ratio $\geq 100\%$.

3. Net Stable Funding Ratio (NSFR)

Ensures institutions maintain stable funding structures over a one-year horizon relative to the liquidity characteristics of their on- and off-balance sheet exposures.

4. Operational Risk Capital & Systems Failover

Standardized measurement approach for operational risk, emphasizing system outage impacts, cyber losses, and automated failover capabilities in core transaction settlement systems.

Systems Verification Notice: This authoritative specification establishes the invariant compliance baseline for production fintech switches, settlement reconciliation engines, and double-entry ledger implementations documented across the portfolio.